TASK 3 — INVESTMENT PORTFOLIO CREATION

Hypothetical portfolio of INR 100,000

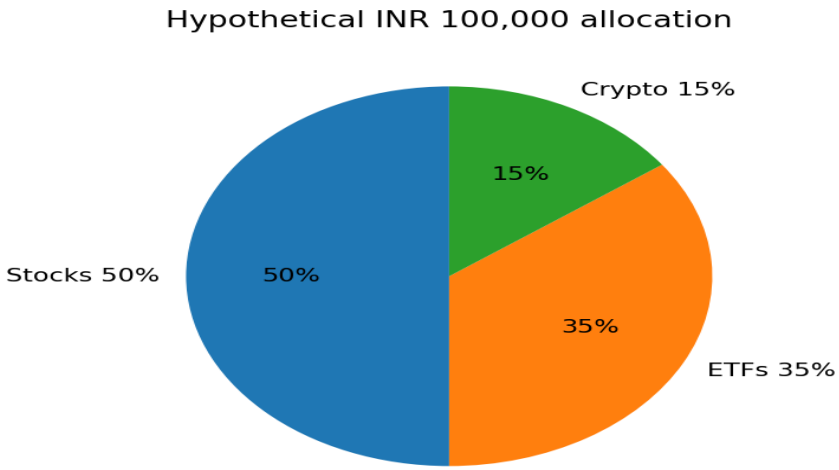
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1. Objective and assumptions

This sample builds the hypothetical ■100,000 portfolio requested by the assignment. It assumes a multi-year horizon and moderate-to-high risk tolerance only for illustration. It is not tailored advice; goals, emergency savings, liabilities, product availability and local tax rules should be considered before investing.

Asset class	Example exposure	Amount (INR)	Weight	Purpose
Stocks	Diversified stock basket	■50,000	50%	Growth; spread across companies and industries.
ETFs	Broad-market index ETF(s)	■35,000	35%	Diversification across securities; check fees and index.
Crypto	Small BTC/ETH sleeve	■15,000	15%	High-risk satellite; substantial loss is possible.
TOTAL	—	■100,000	100%	Hypothetical total



2. Rationale

Stocks (50%). Avoid placing the entire stock allocation in one company. Screen businesses for profitability, debt, cash flow, valuation, governance and competitive position.

ETFs (35%). A broad-market ETF can reduce company-specific risk by spreading exposure across many securities. Compare the index, expense ratio, liquidity, tracking difference, currency and tax treatment.

Crypto (15%). This is the highest-risk part. BTC and ETH are examples, not recommendations. Crypto can lose most of its value; exchanges and custody arrangements create additional risks. A conservative investor could reduce the allocation to 0–5% or omit it.

3. Rebalancing and discipline

Review every six months or when an asset class drifts more than five percentage points from target. Consider fees, taxes and liquidity before rebalancing. Keep emergency savings outside the portfolio, avoid borrowing to invest, and record the objective and maximum acceptable loss before investing.

4. Conclusion

The proposed allocation is 50% stocks, 35% ETFs and 15% crypto. Diversification can reduce some risks but cannot eliminate market losses. Adapt the allocation to the investor’s circumstances and risk capacity.

Further reading

Investor.gov — https://www.investor.gov/

SEC investor information — https://www.sec.gov/investor